

ing back. This allows us to see things within the context of the supply chain and accordingly can vouch for them because they have been buying and selling regularly,” explains Iyer, adding that by looking at that history, lenders can reach a comfortable level of trust. “Therefore, the supply chain provides a reliable way to contextualise one’s position,” he adds.

Likewise, in the lending space, payments companies such as Paytm and BharatPe have an advantage, as they have access to detailed credit profiles. Knowledge of a merchant’s transactional patterns and financial behaviour enables these companies to undertake risk assessment and tailor lending products accordingly. “Payments companies have also marked their presence in the lending market due to UPI. Hence, one can track the money inflow and outflow. Now, that’s a very good model,” says Iyer. However, the only issue is that Indian businesses don’t favour one payment service. “For example, if you go to a textile garment shop today, you will find 2-3 PoS machines and multiple UPI QR codes; so data is spread across,” says Iyer.

THE FUTURE COURSE

With initiatives like GSTN, e-invoicing, and schemes like the Mudra Yojana and the Account Aggregator Framework, the country is becoming increasingly data-rich. This holds the potential to revolutionise credit assessment and affordability for MSMEs. “Eligible MSMEs should register with Udyam, as it offers multiple benefits, including collateral-free loans from banks and financial institutions, subsidised interest rates, and simplified processes for obtaining licences, permits, registrations, and approvals,” says Shah.

Agrees Pandey of U GRO. “It not only formalises the MSME but also provides access to numerous government schemes, benefits, and subsidies tailored for MSMEs. These formal registrations help build a robust credit profile, making it easier for NBFCs like us to extend tailored financial solutions swiftly and efficiently,” he says.

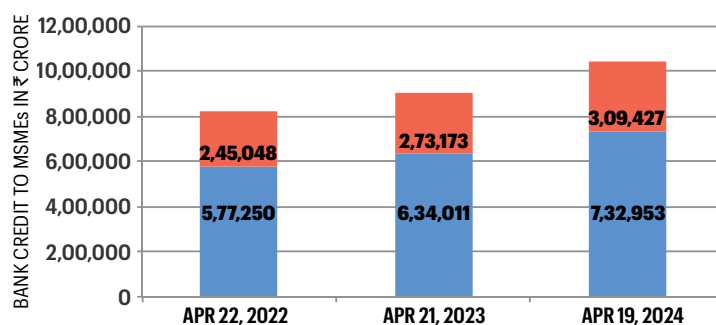
MSMEs are increasingly turning to fintechs for their speed and innovative financial solutions. This combination of banks, NBFCs, and fintech firms provides MSMEs

with options for managing their capital needs. “Fintech inclusive and data-driven approach has expanded the credit market for MSMEs, enabling them to secure the necessary funding for growth. According to a report by EY, digital lending is expected to reach ₹47.4 lakh crore by 2026. This is a potential opportunity for MSMEs,” says Manish Lunia, Co-founder of FlexiLoans.com, an MSME-focused RBI-registered NBFC. MSMEs can, hopefully, look forward to a brighter future. **BT**

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SLOW AND STEADY

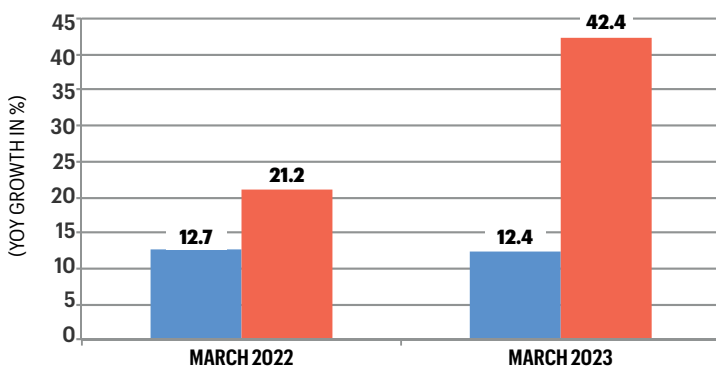
● The MSME sector had received ₹10.4 lakh crore in credit from banks in the year to April 19, 2024, against ₹9.07 lakh crore a year ago



■ MICRO AND SMALL ENTERPRISES ■ MEDIUM-SIZED ENTERPRISES
SOURCE RBI

CREDIT LINE

● Growth in NBFC credit to MSMEs, including from fintech firms, was more than three times higher than what was given by banks



■ MSME CREDIT BY BANKS ■ MSME CREDIT BY NBFCs
NOTE DATA FOR NBFCs INCLUDES FINTECHS SOURCE RBI